

Japan Bid, Momentum Pair, China Demand

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Focus remains on earnings post GOOGL (+3.6% in the pre) and TSLA (-6% in the pre) yesterday evening. Europe broadly trading higher this morning after a late FT story indicated that the US and EU are close to a trade deal. Desk flows yesterday illustrated strong demand for Japan, coupled with supply in small-cap/exposures that are correlated with the short-leg of momentum.

Japan was one of the clear outliers in yesterday's price action. We saw buyers across EWJ and BBJP, with both products witnessing some of their busiest sessions YTD. The space has been trading rich recently, but primary market flows were mostly muted yesterday given creation/redemption schedules – we'll be watching the space closely the next couple of days.

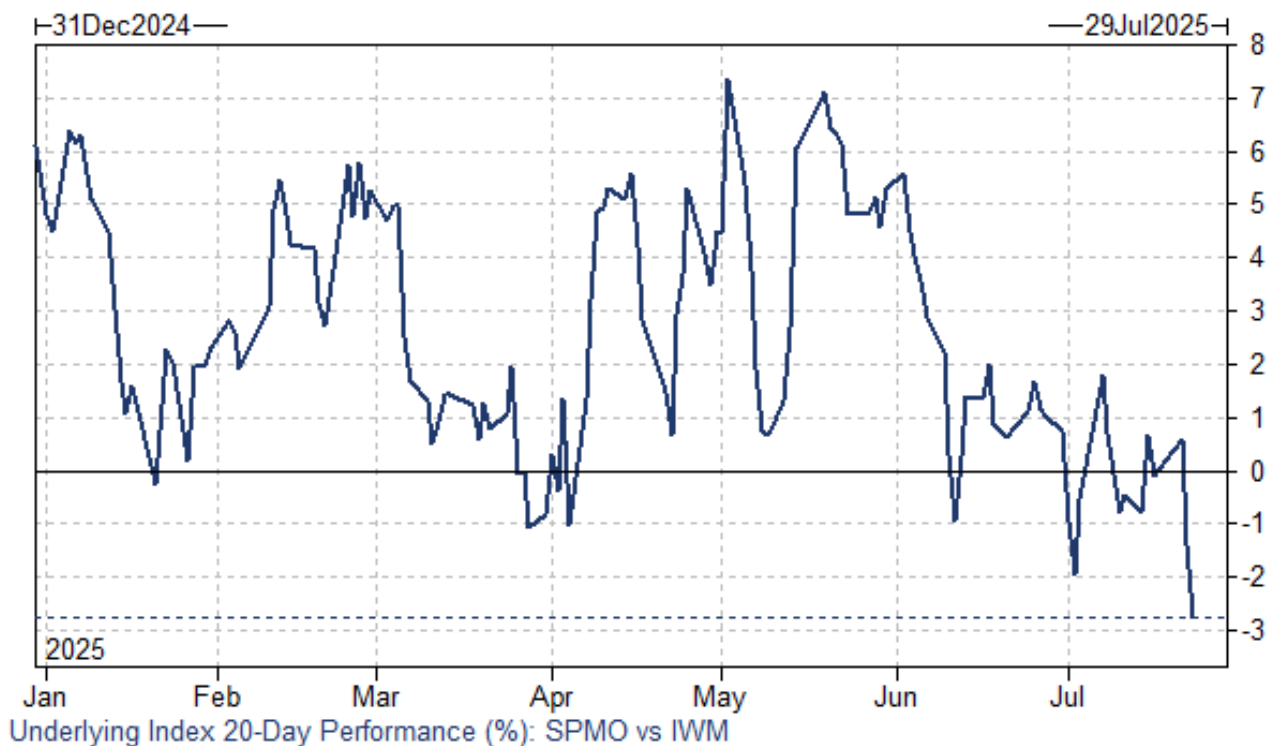


Source: Bloomberg, Goldman Sachs Global FICC & Equities as of July 23, 2025. Past performance is not indicative of future results.

GOOGL reported earnings with a ~6% EPS beat but the standout was a \$10bn upward revision to 2025 capex. TSLA pointing lower this morning after Musk shared that Tesla could be in for a "rough few quarters" on call as the Trump administration ends EV incentives and tariff pressures cause uncertainty for the company following one of its worst earnings reports in 10+ yrs... could be a busy session across the levered/inverse single-stock complex with some of these earnings movers (watching GGLL, TSLL in particular today).

In addition to the above, the two areas where flows appear interesting are within compositions that are highly correlated with the long and short legs of momentum, coupled with the continuation of China demand.

1) As the momentum drawdown continues to spill more ink, we've seen client interest across the two largest momentum factor products (SPMO and MTUM) to achieve the long-leg exposure. Typical hedges we've seen against the factor (and other long exposures) have been IWM and ARKK – IWM continued to face supply on our desk yesterday (via long sells), however the underlying index 20d performance of SPMO vs IWM has reached its lowest point YTD...



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Primary market flows still suggest a preference for the long leg of the trade, with SPMO and MTUM collectively adding +\$1.5bn in new money over the past month. The broader theme of the momentum unwind has made its way to the quant community with our prime business estimating the cohort is now down 3.6% MTD (on track for worst month in almost 5 years) – link to the full note from PB [here](#).

2) China. We'll keep it short and sweet here as this topic likely emerging back in limelight... China ETFs are starting to emerge back into a creation cycle. The major products have recently been trading rich and creations are trickling back in... We saw buyers of MCHI and KWEB yesterday.



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Any references to we/us/our refers to the desk

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